

Negative gearing explained- Property Taxation Guide

PDF-Free Report -Negative gearing of landlord/property rentals

Negative Gearing Properties- for Police officers -2019

This guide explains to Police Officers about the concept of negative gearing of rental properties. (Disclaimer) It is only an guide not to be taken as a recommendation specifically to the reader in question,who should seek further advice.



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This Landlord/Rental Property Taxation Guide

will help you, as an owner of a rental property in Australia, to determine the following:

- Which rental income is assessable for tax purposes?
- Which expenses are tax deductible?
- Which records you need to keep.
- What you need to know when you sell your property.

NEGATIVE GEARING EXPLAINED

If you have equity in an existing property, cash to invest or you're looking to enter the property market for the first time, you've probably heard of negative gearing. Negative gearing is a tax treatment that applies to the income people make from rental properties.

With the correct financial advice, and the right property, negative gearing can be a positive investment decision. Read on to find out more about negative gearing.

A rental property [is negatively geared](#) if you have to borrow money to buy it and the rental income, after deducting all the other property expenses, does not cover the interest on the mortgage.

WHAT IS NEGATIVE GEARING?

An investment property is negatively geared when the costs of owning it - interest on the loan, bank charges, agent fees, maintenance, repairs and capital depreciation - exceed the income it produces (rent).

Negative gearing offers immediate tax benefits coupled with the longer-term prospect of an increase in investment value. For these reasons it's a more common choice for property speculators and/or those with hefty tax obligations.

Your investment must make a loss before you can claim a tax benefit. This not only works for property, but also shares, bonds and other investments.

This net loss can be used as a deduction against other income earned, for example a salary, before tax is paid on it.

THE BENEFITS & RISKS OF NEGATIVE GEARING

Effective negative gearing relies on the value of the investment increasing over time. Real Estate Institute of Australia research shows that over the past 20 years house prices have increased on an annual average basis by 8.3 per cent.

Like all investment strategies, investors must consider the inherent risk associated with borrowing money for an investment. The borrowers should consider their capacity to repay the shortfall and continue servicing the investment loan should it cease to make a return if the tenants leave or for other unforeseen circumstances.

Further benefits of negative gearing

When your investment property is negatively geared, you may be entitled to deductions based on:

- The interest paid on the loan

- The costs of setting up the loan, including establishment fees
- Letting agent fees to manage the property
- The cost of advertising for tenants
- Council rates and land tax
- Owners' corporation levies
- Insurance premiums
- Depreciation of fixtures and fittings, including furniture
- Repairs and maintenance

The key benefit of negative gearing is that it may enable you to offset costs associated with your loan and renting out the property against your taxable income — and at the highest rate of tax that you pay.

The interest-only loan

The interest payment tax deduction makes interest-only loans especially attractive to investors paying the highest tax rate.

For example, you have a property rented for \$1,000 a month, giving you an annual rental income of \$12,000. If your loan interest payments and allowable expenses amount to \$18,000 for the year, you have made a loss of \$6,000 on the property.

This loss could be offset against your personal income.

At the same time, it's important to make sure you have the financial reserves to meet the repayment shortfall and ongoing costs.

For this reason, negative gearing best suits investors with reliable cash flow and surplus income.

Increasing value of the property

In addition to any potential tax benefits, a rental property may increase in value over time. Say it was purchased for \$400,000 and you paid a deposit of \$40,000 with a loan of \$360,000.

If the property increased in value by 10%, that would mean a gain in equity of \$40,000. This would mean a 100% return on your own original funds of \$40,000.

But remember: when you decide to sell the property, you will be subject to capital gains tax on any increase in its value. And increases in property values take time, so property investment should always be considered to be a long term strategy.

Making negative gearing work for you

To succeed in property investment through negative gearing, you need to have a clear understanding of everything involved.

You need to be aware of all the deductions available to you and to remember the need to provide for capital gains when you sell.

Your personal circumstances will determine how well negative gearing may work, which is why you should seek professional tax advice.

Negative gearing does not suit all investors

You should consult your financial adviser about whether negative gearing is right for your financial situation. Of course, it's not a good idea to invest purely for tax reasons. Ultimately, most investors want their investment to either:

Turn profitable at some point in the future, that is, become 'positively geared', or

Grow in value so that they can sell it for a capital gain that compensates for any income lost along the way. (However, note that capital gains tax will most likely be payable if the investment is sold).

Cash flow is key

In the meantime, you need to have the financial reserves to meet repayment shortfalls and ongoing costs.

For this reason, you shouldn't start a negative gearing strategy unless you have a reliable income that generates enough surplus cash each month to meet the additional financial commitment of owning and maintaining an investment property.

Borrowing to invest: What to consider

Factors you should consider before deciding to borrow to invest include:

- Think about the investment first, not the tax benefit. Even if you decide to negatively gear, sooner or later you will want your investment to turn a profit
- Look for an investment property that will give you a reliable and rising income

- Have realistic expectations for your investment returns – research similar properties in the area
- Set a realistic timeframe in which to achieve your target – residential property investment should be viewed as a long-term investment strategy
- Do not borrow to your maximum capacity, or more than you can comfortably afford
- Make sure you can meet higher repayments if interest rates rise – the last thing you want is to be forced to sell in a hurry
- Be aware that investments can lose value due to circumstances beyond your control, such as economic, environmental or legislative changes.

You should do your homework and seek professional advice.

Before deciding to invest in property you should consult various professional adviser 's, including:

Tax accountant

Solicitor

Financial Planner

Real Estate Agent

Banker

to help you decide whether this strategy is right for you.

Rental and other rental related income

is the full amount of rent & associated payments that you receive, or become entitled to, when you rent out your property - whether it is paid to you or your real estate agent. You must include your share of the full amount of rent you earn in your tax return.

RENTAL RELATED INCOME

Any rent collected from leasing your rental property and including any Air B & B rents must be declared in your taxation return.

If you received:

- an insurance payout you may need to include this if the payout was to compensate for lost rent.
- a letting or booking fee then this must be included as rental income.
- a reimbursement for a deductible expense, you may need to include it as income.

For Example:

- An amount received from the tenant to cover the cost of repairing the property is income, but the cost of the repair will be claimed as a deduction.
- A government rebate for purchasing a depreciating asset, such as a Split Cooling/Heating System, will need to be declared as income.

CO-OWNERSHIP OF RENTAL PROPERTY

The way rental income and expenses are divided-ed between co-owners depends on whether the co-owners are joint tenants, or tenants in common, or operating a partnership, or carrying on a rental property business.

Co-owners must divide the income & expenses in line with their legal interest in the property

- Joint tenants - hold an equal share in the property.
- Tenants in Common - may hold unequal interest in a property - for example one may hold 20% interest and the other may hold 80% interest.

Rental income & expenses must be allocated to each owner in accordance with the legal ownership. This cannot be changed by any other agreement between the owners either verbally or in writing.

TAX DEDUCTABLE EXPENSES

Investment property owners can claim deduction and depreciation against income on the property. There are three main classes of deductions available to investors:

1. **Revenue deductions** - these include interest on the loan as well as ongoing maintenance and recurrent expenses such as agent fees, council fees, advertising charges, bank fees, body corporate fees, cleaning expenses, gas, water, gardening and insurance.
2. **Claims for capital items** - large capital items such as a hot water service, white goods, etc. are subject to depreciation. This means the owner must claim the cost over a number of years rather than all at once. Depreciation schedules are set by the Taxation Department and range from a few years to more than 20 years.
3. **Claims for building allowances** - owners can also claim depreciation of capital works, specifically for building and landscaping. The current rate is 2.5% over 40 years.

RENTAL EXPENSES

You can claim a deduction for certain expenses you incur for the period your property is rented or available for rent. However, you cannot claim expenses of a capital nature or a private nature - although you may be able to claim decline in value (depreciation) for certain capital expenditure.

TYPES OF RENTAL EXPENSES

There are three categories of rental expenses:

- Cannot claim a deduction
- Can claim an immediate deduction
- Can claim over a number of years

Some expenses may need to be apportioned, each of these are discussed in more detail below.

Apportionment of Rental Expenses

There may be situations where you need to apportion the expenses:

- Your property is available for rent for only part of the year.
- Only part of your property is used to earn rental income.
- You rent your property at noncommercial rates.

Property available for part year rental

If you use the property for both private and income producing purposes, you cannot claim a deduction for the portion which relates to private use. An example might be a holiday home. You cannot claim a deduction for the time the property was used by you, your relatives or your friends for private purposes. In this case expenses like Council Rates would be apportioned on a time basis to calculate the private nondeductible amount.

Expenses you can claim- Immediately

Rental Property Expenses you can claim immediately include the following:

- | | | |
|---------------------------|-------------------------------|-----------------------|
| • Advertising for tenants | • Bank charges | • Body corporate fees |
| • Cleaning | • Council rates | • Electricity & Gas |
| • Gardening & lawn mowing | • In house video charges | |
| • Insurance | • Interest on loans | • Land tax |
| • Lease document expenses | • Legal expense (conditional) | |
| • Mortgage discharge fees | • Pest control | |

- Property agents' fees
- Repairs & maintenance
- Security patrol services
- Telephone calls
- Water Rates
- Quantity surveyors fees
- Secretarial & bookkeeping services
- Stationery & postage
- Travel & car expenses (No longer claimable)

Expenses you can NOT claim

Expenses which are not able to be claim as a deduction include:

- Acquisition & disposal costs.
- Expenses not incurred by you, such as water paid direct by your tenant
- Expenses which are not related to the rental property.

Acquisition & disposal costs

You can NOT claim a deduction for the costs of acquiring or disposing of your rental property. Examples of these costs are Conveyancing costs, legal fees on purchase or sale, stamp duty on the transfer of property, advertising expenses, com-mission on the sale. However, all these costs form part of the calculation for Capital Gains Tax.

AN EXAMPLE OF NEGATIVE GEARING

An example negative gearing scenario is shown in the table below.

Example of negative gearing- monthly basis

Rental Income: \$ 2,000.00

Less expenses:

Interest, maintenance, etc. - \$ 2,500.00

Council rates & other expenses - \$ 240.00

Building allowances (depreciation) - \$ 150.00

Total shortfall: - \$ 890.00 x 12 months = \$10,680 on a yearly basis

This example demonstrates how an investment asset may be negatively geared. The net loss of \$890.00 per month (\$10,680.00 per annum) may be claimed as a tax deduction against your wages & salary Income making your potential ATO refund much larger.

More Complex topics

Existing residential rental property purchased on or after 9 May 2017

You cannot claim a deduction for the decline in value for assets in an existing residential rental property if you entered into a contract to purchase that property on or after 7.30pm (AEST) on 9 May 2017.

New Property assets

You can claim for assets that are new; not second-hand or used.

This includes where you purchase a newly built or substantially renovated property, for which no one was previously entitled to a deduction for the decline in value of the depreciating asset, and either:

- no one resided at the property before you acquired it, or
- the depreciating assets were installed for use, or used at this property, and you acquired the property within six months of it being newly built or substantially renovated.

Deductions for capital works

You can claim capital works deductions for construction costs for a rental property that satisfies certain conditions.

Deductions based on construction costs apply to capital works such as:

- buildings, or an extension; for example, adding a room, garage, patio or pergola
- alterations, such as removing or adding an internal wall, or
- structural improvements; for example, adding a gazebo, carport, sealed driveway, retaining wall or fence.

Your total capital works deductions cannot exceed the construction costs. No deduction is available until the construction is complete.

You can only claim deductions for the period during the year that the property is rented or available for rent.

Repairs on a newly-acquired rental property

Initial repairs to rectify damage, defects or deterioration that existed at the time of purchasing a property can't be claimed as an immediate deduction but may be claimed over a number of years as capital works deductions.

Replacing an asset

If you replace assets such as a complete fence or building, you may be able to claim the cost as capital works deductions.

If you replace depreciating assets such as a dishwasher or carpets, you may be able to claim the cost as deductions for decline in value.

Selling a rental property

You're likely to make a capital gain or capital loss when you sell or otherwise dispose of a rental property. If you make a net capital gain in an income year, you'll generally be liable for capital gains tax (CGT). If you make a net capital loss you can carry it forward and deduct it from your capital gains in later years.

A capital gain, or capital loss, is the difference between what it cost you to obtain and improve the property (the cost base), and what you receive when you dispose of it. Amounts that you've claimed as a tax deduction, or that you can claim, are excluded from the property's cost base. The cost base of a capital gains tax (CGT) asset is generally the cost of the asset when you bought it. It also includes certain other costs associated with purchasing or acquiring, holding and selling or disposing of the asset.

If you acquired the property before CGT came into effect on 20 September 1985, you disregard any capital gain or capital loss. However, you may make a capital gain or capital loss from capital improvements made since 20 September 1985, even if you acquired the property before that date.

FIND OUT MORE

To find out more about negative gearing and your loan options for an investment property, ring our hotline on 1800 654 591 and chat to a specialist.

Negative Gearing Statistics Australia:

"Two thirds of those who use **negative gearing** have a taxable income of \$80,000 or less. Seventy per cent own just one property, and 70 per cent have a net rental loss of less than \$10,000". These are the vast majority of **Australians** who use **negative gearing** are on a modest income?

An estimated \$5.49 Billion is claimed by taxpayers in negative gearing in Australia.

The main employment categories who avail themselves of negative gearing are:

- Police 13,090
- Nurses and midwives 37,165
- Teachers 55,795

Most negative gearers are modest income-earning Australians and two thirds of those who use negative gearing have a taxable income of \$80,000 or less.